

EisaX Intelligence Report: NVDA

Live Price: \$172.93 (-1.13%) | Sector: Technology | EisaX Score: 69/100

MEMORANDUM

TO: Client
FROM: EisaX, Chief Investment Officer
Date: March 23, 2026
RE: Analysis of NVDA

Executive Summary .1

Our analysis of NVIDIA Corporation (NVDA) results in a cautious stance. While the company exhibits unparalleled fundamental strength in the AI era, its current technical breakdown, extreme market-wide fear, and significant geopolitical risks to its supply chain warrant a defensive posture. We advise waiting for a more favorable risk/reward entry point.

Fundamental Analysis .2

Fundamental quality is exceptional. Revenue and EPS grew 73.2% and 95.6% YoY, respectively, driven by dominant AI infrastructure demand. Profitability is stellar: Gross Margin is 71.1% (Non-GAAP; GAAP margin may be ~2-3% lower), Operating Margin is 65.0%, and ROE exceeds 100%. The balance sheet is fortress-like with \$62.6B net cash. Valuation has compressed to a 20.8x forward P/E, which is a significant discount to its historical multiples given this growth profile.

Technical Outlook .3

The trend is bearish. Price at \$172.93 trades below both the SMA50 (\$184.60) and SMA200 (\$178.42), indicating sustained selling pressure. Momentum is bearish with a MACD reading of -1.99 below its signal line (-1.17). The RSI at 38.0 is in "Near Oversold" territory, suggesting selling may be exhausted in the near term, but the weak ADX reading of 9.4 confirms there is no strong directional trend currently. Key resistance is at the SMA200 (\$178.42), with initial support near \$166.

Key Risks .4

Geopolitical & Supply Chain Shock (Severity: High): As highlighted in the latest news, customers like .1 Upstage are actively seeking to diversify away from NVIDIA by purchasing AMD AI chips. Furthermore, the macro context shows a **China-Taiwan** scenario could trigger a -30% to -50% shock to the global semiconductor supply chain, for which NVIDIA is acutely exposed.

AI Investment Slowdown & Bubble Risk (Severity: Medium-High): Recent headlines warn of an "AI .2 Bubble" with billions wiped from chipmaker valuations. A slowdown in capital expenditure for AI infrastructure,

.or a failure of AI monetization to meet lofty expectations, would directly impact NVIDIA's growth trajectory

High Beta & Macro Sensitivity (Severity: Medium): With a Beta of 2.37, NVDA is highly sensitive to broader .3 market moves. In the current risk-off environment with a VIX above 24, the stock is vulnerable to further de-risking by institutional investors

Analyst Consensus & Catalysts .5

Analyst consensus remains a "Strong Buy" with a mean price target of \$265.97, implying 53.8% upside. The next identifiable catalyst is the upcoming earnings report scheduled for February 25, 2026 (historical data indicates this .date has passed; the next report is pending confirmation)

EisaX Outlook .6

NVIDIA trades at a forward P/E of 20.8x, a notable discount to its historical trading range and its TTM P/E of 35.3x, reflecting a significant compression for a company with near-triple-digit EPS growth. Compared to mega-cap tech peers, this multiple is now in line with more mature, slower-growth names. The risk/reward is improving from a .valuation perspective, but entry timing is critical given technical and macro headwinds

?Why Now 🕒 .7

Market Sentiment: The Fear & Greed Index is at 8.0, signaling "Extreme Fear." Historically, such levels present • contrarian entry opportunities, but they often coincide with periods of maximum volatility and potential for further .downside

Technical Position: Price is at \$172.93, which is -3.1% below the SMA200 (\$178.42) and -6.3% below the SMA50 • (\$184.60). This breach of long-term moving averages typically signals a shift in momentum that requires time to .repair

Upcoming Catalyst: The primary near-term focus is the broader market's assessment of AI investment • sustainability, amplified by news of customer diversification efforts and bubble warnings. A stabilization in the tech .sector is needed for a durable rally

Advanced Scenario Analysis 🌐 .8

Suggested Hedge		Expected Price	Impact	Scenario
Gold + Treasuries		\$111.45	35.6%-	Geopolitical Shock
Healthcare + Staples		\$90.96	47.4%-	AI/Tech Slowdown
Utilities + Renewables		\$131.95	23.7%-	Energy Crisis
Value stocks + Cash		\$99.16	42.7%-	Fed Rate Shock +2%

FACT-CHECK (Verified Mar 23, 2026) 🔍

Status	Live	Report	Metric
✓	\$172.93	\$172.93	Price
+	2.37	—	Beta
+	35.3x	—	P/E (TTM)

Status	Live	Report	Metric
+	20.8x	—	Forward P/E
+	4.20T	—	Market Cap
+	212.19 - 86.62	—	52W Range
+	Extreme — 8 ● Fear	—	Fear & Greed
			Next Earnings: Feb 25, 2026 (recently reported — awaiting next 17 date)

Source: Yahoo Finance + StockAnalysis + CNN Fear&Greed — live at time of query

Latest News (live at time of query)

- Upstage Discusses Buying 10,000 AMD AI Chips to Diversify Supply
- AI Bubble Warning: Nvidia and AMD Wipes Out Billions in Days

Positioning Guide

Rationale	Level	
Pullback entry — below current price	\$167.74	Entry ●
Analyst consensus target	(53.8%+) \$265.97	Target 
Trailing stop (-9% from current)	\$157.37	Stop ●

Awaiting Pullback — Current price (\$172.93) is **3.0% above** the entry level. Do **not** chase the .current price. Wait for a pullback to the entry zone before initiating a position

EisaX Proprietary Score Card

NVDA | REDUCE ● | Conviction: **Medium** | EisaX Score: **69/100**

Conviction driven by: upside limited by bearish technicals, strong quality fundamentals, bearish primary trend

Value	Metric
\$172.93	Live Price
(53.8%+) \$265.97	Price Target
High Risk  2.37	Beta
20.8x ● Reasonable	Forward P/E

:Factor Analysis

Bar	Score	Factor
	100%	Quality Score
	90%	Valuation
	100%	Price Upside
	46%	Risk Profile
	100%	Market Position
	20%	Technical Momentum
	40%	Analyst Sentiment

Overall: 69/100

EisaX Proprietary Score | Abu Dhabi

Technical Override: Raw score was 79/100 → capped to 69/100 because price is below SMA200. ⚠️
.Upgrade to BUY requires reclaiming SMA200 (\$178.42)



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